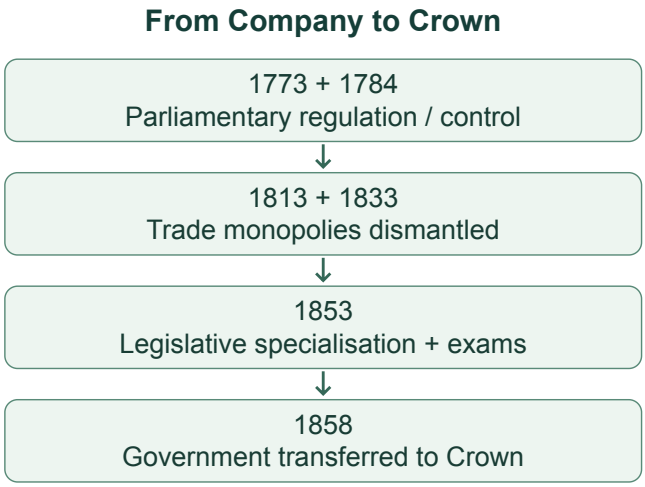
Changes and Impact: Indian Polity (Constitutional Development Part 1, 1757-1858)

The constitutional story

Company trade → territorial government → Parliamentary supervision → centralisation → Crown rule. These changes strengthened colonial control; they did not create responsible government for Indians.



From Company to Crown

Act	One-line distinction
1773 Regulating Act	First major parliamentary regulation; Governor-General of **Bengal** and Supreme Court provision
1781 Amending / Settlement Act	Clarified Supreme Court jurisdiction and executive/revenue exemptions
1784 Pitt's India Act	Board of Control + Court of Directors: dual control in Britain
1786 Act	Governor-General could override Council in specified cases; Cornwallis could also be commander-in-chief
1793 Charter Act	Renewal for 20 years and strengthening of existing authority
1813 Charter Act	Indian-trade monopoly ended except tea/China; ₹1-lakh education provision
1833 Charter Act	Company commerce ended; Governor-General of **India**; legislative centralisation and law member
1853 Charter Act	Separate legislative business; competitive civil-service recruitment; no fixed renewal term
1858 Government of India Act	Company government transferred to Crown; Secretary of State + 15-member Council

Why Parliament intervened: Regulating Act, 1773

- **Dual government, 1765-72:** Company controlled Diwani while Nawabi Nizamat remained nominal; power separated from responsibility, producing administrative confusion and extraction.
- Famine **1769-70**, corrupt private trade and expensive wars exposed governance failures.
- Company employees ('nabobs') amassed fortunes, while the Company itself faced debt and cash crisis. Rival merchants attacked monopoly and political patronage.
- **1767:** Parliament claimed **£400,000 annually** from the Company; did not yet establish comprehensive direct rule.
- **1772:** Company sought assistance from Lord North; inquiry followed. **18 May 1773:** North introduced the regulating bill; the Act passed in June. A separate loan arrangement provided **£1.4 million at 4%**.

Regulating Act: institutions and limits

Company management in Britain

Court of Proprietors: shareholders. **Court of Directors:** 24 elected directors, handling Company affairs. The Act tightened shareholding/voting qualifications, introduced **four-year director terms with one-quarter retiring yearly**, and required revenue/civil/military correspondence to be supplied to British ministers.

The source gives **£1,000 voting qualification** and **£2,000 director qualification** after revision; the essential exam point is higher qualifications and tighter supervision, not an assumption that voting became democratic.

Government in India

Institution	Arrangement
Governor-General of Bengal	**Warren Hastings**, first; civil/military authority in Bengal, Bihar and Orissa
Executive Council	**Four councillors**; majority decisions; Governor-General's casting vote in a tie; first appointments for five years
First councillors	**Philip Francis, Clavering, Monson and Barwell**; Barwell supported Hastings
Other presidencies	Bombay/Madras subject to Bengal's supervision especially for war/peace, with imperfectly defined exceptions
Official conduct	Restrictions on presents/bribes/private trade; salaries intended to reduce corruption
Supreme Court at Calcutta	Established **1774** under the 1773 Act; Chief Justice + **three puisne judges**; **Elijah Impey**, first Chief Justice

Correction: 1773 made Hastings **Governor-General of Bengal**, not formally Governor-General of India; the latter title dates to **1833**. Barwell was a Company servant already in India; the source incorrectly describes all four councillors as outsiders sent from Britain.

The Court exercised civil, criminal, admiralty and ecclesiastical jurisdiction within its legal reach; appeals went to the King-in-Council. Do not say it automatically exercised undisputed jurisdiction over every Indian resident of Bengal.

Weaknesses

- Governor-General could be outvoted; hostility between Hastings and councillors caused paralysis.
- Presidency subordination and London supervision were vague; independent military initiatives continued.
- Supreme Court-Council and Supreme Court-Company court boundaries were unclear; English-law claims and jurisdictional disputes created conflict and public hostility.
- Regulations did not eliminate corruption or separate colonial policy from commercial interests.

Significance: a major precedent for parliamentary intervention, central authority at Calcutta and formal judicial machinery. Its imperfect design stimulated later reform rather than making the Act historically insignificant. UK Parliament: regulation of the East India Company.

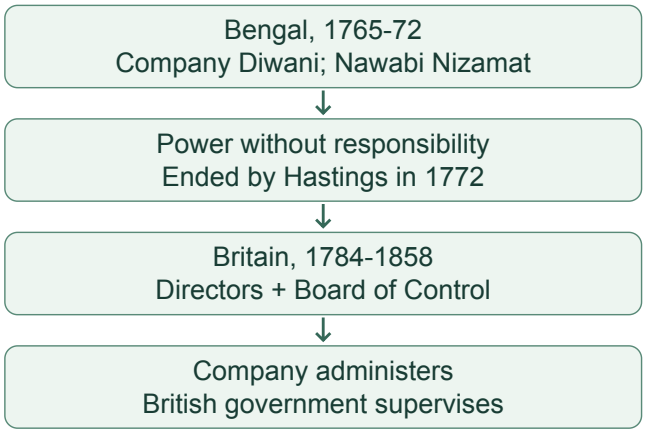
1781 clarification

The **Amending Act / Act of Settlement, 1781** exempted official acts of Governor-General/Council and revenue matters from Supreme Court jurisdiction, clarified jurisdiction over Calcutta residents and required regard for personal laws. Distinguish this correction from **Pitt's political-control reform in 1784**.

Pitt's India Act, 1784

William Pitt the Younger sought stronger British state control without abolishing the Company. The failed **Fox-North India Bill, 1783**, had proposed a different supervisory structure; its defeat contributed to the ministry's fall.

Do not confuse the two dual systems



Do not confuse the two dual systems

Court of Directors	Board of Control
Company commerce and patronage	Political, civil, military and revenue supervision
Prepared dispatches/managed operations	Could review and control non-commercial instructions
Company institution	Six Crown-appointed commissioners, including senior ministers/Privy Councillors

Dual control ('double government') lasted until **1858**: Company administered, British government supervised. It is distinct from **Bengal's dual government, 1765-72**.

- Governor-General's Council reduced from four to **three** members.
- Stronger supervision of subordinate presidencies in war, diplomacy and revenue; wars/treaties required authority subject to statutory exceptions.
- Declared aggressive conquest contrary to policy, but expansion continued in practice.
- Company's Indian possessions described as **British possessions**; Board's President became an important political authority.

Significance: formal distinction of commercial and political affairs, with effective state supremacy over Company government. Company patronage and day-to-day administration survived; this was not immediate Crown government of India.

Act of 1786 and Charter Act of 1793

1786: to secure Cornwallis's acceptance, permitted the Governor-General to hold commander-in-chief office and override the Council in special cases on his own responsibility. **1793:** broader continuation of overriding powers and presidency supervision; commercial privileges renewed for **20 years**.

The source links 1793 with printed/codified regulations and translation of laws; distinguish contemporaneous **Cornwallis Code/Bengal regulations** from attributing every judicial change to one Charter Act clause. Board of Control establishment expenses were charged to **Indian revenues**; it did not make India pay the salaries of every minister in the entire British government.

Charter Act, 1813

Context

Industrial growth, free-trade lobbying, expanded territorial rule and Britain's restricted European markets during Napoleon's **Continental System** weakened the case for Company monopoly.

Main provisions

- Charter renewed for **20 years**; **Indian-trade monopoly ended**, but **tea trade and China trade retained**.
- Asserted **Crown sovereignty** over Company's Indian territories; this is not the 1858 transfer of government.
- Allowed licensed missionaries and greater access for British traders; religious/educational institutions expanded.
- Allocated **₹1 lakh annually** toward literature, learning and science/education. Debate over how to spend it continued; it did not instantly impose one uniform English-only system.
- Separated commercial and territorial accounts more clearly; local taxation/administrative powers continued under the framework.

Exam trap: 'British Parliament directly controlled all Indian revenues under the 1813 Act' is not the correct statement used in the 2019 PYQ.

Charter Act, 1833

Context

Industrial/free-trade demands and Whig reforms: **1830** Whigs came to power; **1832 Reform Act** changed representation in England/Wales. **Macaulay** and **James Mill** influenced policy, though liberal rhetoric coexisted with colonial hierarchy.

The **Slavery Abolition Act, 1833** applied to much of the British Empire with important exceptions, including Company territories; do not call it universal immediate abolition in India. Indian **Act V, 1843**, later removed legal recognition/enforcement of slavery.

Main provisions

Area	Change
Company function	Remaining commercial activities/tea-China monopoly ended; Company continued governing
Governor-General	Bengal Governor-General became **Governor-General of India**; **William Bentinck**, first
Legislature	Governor-General-in-Council could legislate for all British Indian territories; Bombay/Madras legislative powers ended
Council	Fourth **law member**, initially for legislative business; **Macaulay**, first
Law reform	Provision for Law Commission; first commission established **1834**, chaired by Macaulay
Public service	Section 87 declared no disqualification solely by religion, birthplace, descent or colour; practical exclusion persisted
European access	Restrictions on settlement/property acquisition relaxed, subject to legal conditions
Territorial administration	Provision for Agra presidency; modified in **1835**, North-Western Provinces organised **1836**

Law-member trap: legislative participation was restricted, but not meaningless; do not say he had no role in legislative voting. **Civil-service trap:** 1833 non-discrimination language was not the full competitive-exam system instituted after **1853**.

Law dates: Penal Code drafted **1837**, enacted **1860**, effective **1862**; civil/criminal procedure codes came through later laws. They were not all enacted by the 1833 Act itself. Government law-training handbook: IPC commencement.

Significance: culmination of administrative/legislative centralisation and transition to a purely governing Company. Formal equality of eligibility did not make colonial administration racially equal in practice.

Charter Act, 1853

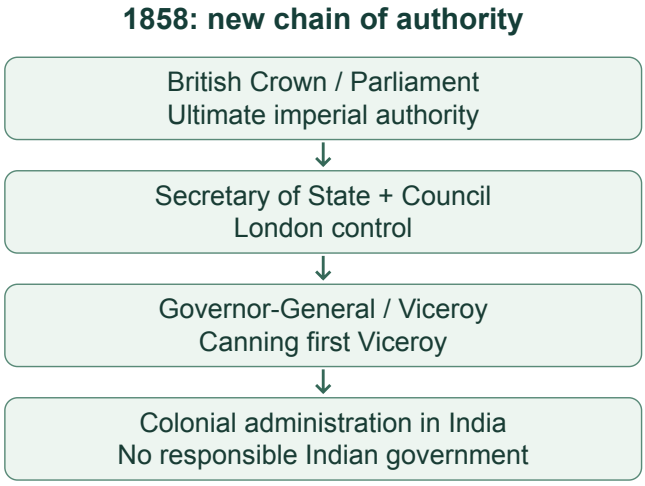
- Continued Company government **without a fixed twenty-year period**, until Parliament decided otherwise; opened the way for later transfer.
- Separated executive and legislative functions more distinctly: Council's legislative sitting enlarged by **six additional members** (two Supreme Court judges plus four provincial officials from Bengal, Madras, Bombay and North-Western Provinces).

- Law member became a full Council member; legislative proceedings became more public, with questions, debate and select committees. This was an appointed colonial legislature, **not an elected representative Parliament**.
- Directors reduced from **24 to 18**, with **six Crown nominees**.
- Open competitive recruitment replaced Company patronage in civil service; **Macaulay committee, 1854**, rules; first competition **1855** in London. Practical barriers limited Indian participation.
- Permitted further territorial-administrative adjustments; later Punjab Lieutenant-Governorship **1859** belonged to the Crown-era administrative setting.

Significance: specialised legislative machinery acquired some independence in discussion, but executive dominance/veto remained. Charles Wood did not intend immediate Indian parliamentary democracy.

Government of India Act, 1858

Trigger: Revolt of 1857 exposed Company government's crisis. Palmerston introduced an initial bill; after his ministry fell, legislation under the Derby government, led by **Lord Stanley**, received assent **2 August 1858**.



1858: new chain of authority

In Britain	In India
Company governing powers vested in Crown	Governor-General continued; also called **Viceroy**, Crown's representative
Court of Directors and Board of Control abolished	**Canning**, first Viceroy
Secretary of State for India, Cabinet minister responsible to Parliament	Administration increasingly directed from London
15-member Council of India: initially eight Crown nominees and seven chosen by Directors	No elected Indian responsible government created
Secretary of State in Council a legal corporate body, able to sue/be sued	Bureaucracy, revenue and colonial interests largely continued

Lord Stanley was first Secretary of State. Patronage/appointments were distributed under the new legal arrangements. The legal Company entity was **not dissolved in 1858**; it survived until **1874**. Thus 'Company rule abolished' and 'Company corporate existence abolished' are different claims.

Original Government of India Act, 1858.

Queen Victoria's Proclamation, 1 November 1858

Announced by Canning at **Allahabad**; distinct from the August Act. Sometimes praised as a 'Magna Carta' for Indians, but that label describes promises, not their full fulfilment.

Promises:

- Crown assumes government; Canning acts on its behalf.
- Honour Company treaties with princes; respect their rights/dignity and disclaim further territorial enlargement.
- Religious non-interference and respect for ancient rights/customs.
- Fair admission to public service according to fitness, without racial/religious exclusion.
- Public works, peaceful industry and subjects' welfare.
- Clemency subject to exceptions for direct involvement in murder of British subjects.

Assessment: strengthened princely cooperation and changed imperial policy language. Discrimination, economic extraction and political exclusion continued; administrative continuity does not mean the transfer itself had no constitutional importance.

PYQ traps and answer cues

PYQ	Key distinction
2002 Acts matching	1813: trade monopoly; 1773: reporting; 1858: Crown; 1784: Board of Control → **2-4-3-1**, option a
2002 portfolio system	**Indian Councils Act, 1861**, not 1858
2003 provision NOT in 1833	An **Indian** law member was not promised; Macaulay was British
2005 police/court/IPC	Regular police reforms associated with **Cornwallis**, not Hastings; Supreme Court provision 1773; printed IPC wording needs enactment/commencement distinction
2006 1853 / 1858	1853 did not end Indian-trade monopoly; 1858 ended Company **government**, not its legal existence
2014 proclamation	Disclaim annexation + Crown administration; not renewed Company trade
2019 1813	Monopoly exception and Crown sovereignty statements correct; revenue-control statement incorrect
2023 title change	**1833 Charter Act**

The chapter's 2005 key treats 'IPC came into effect in 1860' as true, but precise commencement was **1862**. Preserve exam wording/key with this clarification instead of turning the mistaken statement into a revision fact.

Mains frame: explain centralisation and parliamentary supervision alongside commercial change; conclude with Crown transfer and continued exclusion of Indians from responsible government.